

The Complete Financial Guide for Young Couples

Once I have added all the figures on the expense side, I compare them with the figures on the income side. Unfortunately, there often seems to be a difference between what the figures say the couple is spending and the amount of money they are borrowing on a month-by-month basis. The difference is usually the result of miscellaneous expenses. Did you ever pay off an automobile or get a raise and, without seeming to increase your spending, find that in three or four months all the money had been absorbed? Where did it go? Into "Miscellaneous."

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One of the purposes of a budget is to control miscellaneous spending and evaluate where the fixed spending is excessive. There will never be "enough" money in the budget until spending is under control.

A few years ago I met a surgeon who confirmed this principle for me. He earned over \$100,000 a year and had done so for nearly 10 years, yet he was always in debt. This doctor's early years were interesting. He had grown up in an orphanage, worked through four years of college in virtual poverty, worked four years in med school in virtual poverty, spent four years in residency training in virtual poverty, and then suddenly had an income of more than \$100,000 a year.

He didn't think that anyone could spend that much money. However, anyone can spend ANY amount of money. It may take more ingenuity after \$100,000, but it can certainly be done, and he proved it.

After a conference in his city, I received a telephone call from him. "The next time you are in town, I would really like to have a chance to talk to you. I think I have a problem," he said. "Last month I made \$27,000 and spent \$32,000." I agreed that he really did have a problem.

A few weeks later as I went through his records, I found he had his office, home, and all other finances linked together. His receptionist, who was also his bookkeeper, paid all the bills. For the month in question, I found that he had spent nearly